

8. LOOK FOR LOW-RISK, HIGH-UNCERTAINTY BUSINESSES.

Papa Patel's motel purchase did not have much risk associated with it. However, the outcome had significant uncertainty associated with it. What if gas prices continued to stay high or the recession continued on? Even in that scenario Papa Patel would still be the low-cost provider. He'd still be able to charge less and end up with higher occupancy. Even in the gloom and doom scenario, he comes out looking pretty good. If the economy booms and the gas prices moderate, he makes a killing. He has very low risk and relatively high uncertainty with the motel investment.

Low risk and high uncertainty is a wonderful combination. It leads to severely depressed prices for businesses—especially in the pari-mutuel system-based stock market. Dhandho entrepreneurs first focus on minimizing downside risk. Low-risk situations, by definition, have low downsides. The high uncertainty can be dealt with by conservatively handicapping the range of possible outcomes. You end with the classic Dhandho tagline: Heads, I win; tails, I don't lose much!

9. IT'S BETTER TO BE A COPYCAT THAN AN INNOVATOR.

The first few Patels paved the way for the thousands that followed. Papa Patel had seen a few of the earlier Patels latch on to buying small motels. In conversations with these pioneers, the no-brainer business model became painfully clear to him. He did not set out to innovate. He simply followed the path laid out by his peers. The thousands of subsequent Patels who followed did not innovate either; neither did Manilal. I, too, got the seed of the idea for TransTech from my previous employer, Tellabs. They weren't interested in pursuing it, and I saw tremendous potential—so I left Tellabs and lifted and scaled the idea. Innovation is a crapshoot, but lifting and scaling carries far lower risk and decent to great rewards.